

		“By signing an arbitration agreement, the parties agree as follows: All parties to this Agreement are giving up the right to sue each other in court, including the right to a trial by jury, except as provided by the rules of the arbitration forum in which a claim is filed.” “Any controversy or claim arising out of or relating to (i) this Agreement, any other agreement with Schwab, an instruction or authorization provided to Schwab or the breach of any such agreements, instructions, or authorizations; (ii) the Account, any other Schwab account or Services; (iii) transaction in the Account or any other Schwab account; (iv) or in any way arising from the relationship with Schwab, its parent, subsidiaries, affiliates, officers, directors, employees, agents or service providers (“Related Third Parties”), including any controversy over the arbitrability of a dispute, will be settled by arbitration.” “This arbitration agreement will be binding upon and inure to the benefit of the parties hereto and their respective representatives, attorneys-in-fact, heirs, successors, assigns, and any other persons having or claiming to have a legal or beneficial interest in the Account, including court-appointed Trustees and receivers.” “This arbitration agreement will also inure to the benefit of third party service providers that assist Schwab in providing Services ("Third-Party Service Providers") and such Third-Party Service Providers are deemed to be third-party beneficiaries of this arbitration agreement.” Moving Defendant states that Schwab has already obtained an order to arbitrate in the related Probate Court litigation. The Court takes judicial notice of the Probate Court’s 2/4/26 minute order compelling arbitration of Plaintiff’s third cause of action in that case for double damages, attorney fees, and costs against Schwab, but staying such arbitration while Plaintiff litigates his claims against Defendant Erceg which were not compelled to arbitration. Moving Defendant apparently did not seek to compel arbitration of Plaintiff’s claims against him in the probate case. As decedent’s alleged heir, Plaintiff is bound by the arbitration agreement which was also executed by Defendant as Trustee. Plaintiff has not opposed the motion and fails to meet his burden to show his claims against Defendant in this lawsuit do not fall within the agreement. Therefore, Defendant has established the existence of a binding arbitration agreement and the motion is granted. This action is stayed pending completion of arbitration.
12	23-01302857 <i>Providence Capital Funding, Inc. vs. Team MMJ Trucking LLC</i>	Motion for Summary Judgment and/or Adjudication Motion 1: Motion for Court to Accept Late Filing Defendants’ Motion for Court to Accept Late Filing of Defendants’ Opposition to Plaintiff’s Motion for Summary Judgment is DENIED. Defendants Team MMJ Trucking, LLC, Mike Springer and Tonya Springer move the Court to accept the late filing of their opposition to Plaintiff’s motion for summary judgment or, alternatively, summary adjudication.

Defendants seek mandatory relief under Code of Civil Procedure section 473, subdivision (b) (hereinafter, section 473(b)). A motion for mandatory relief must be made no more than six months after entry of judgment and be accompanied by an attorney's sworn affidavit attesting to the attorney's "mistake, inadvertence, surprise or neglect" and a copy of the proposed pleading to be filed. (Code Civ. Proc., § 473, subd. (b).)

The motion is accompanied by a declaration from Defendants' counsel, Guy E. Mailly. The motion is also accompanied by a proposed opposition that was revised after the July 16 hearing. (Mailly Decl., ¶¶ 10, 11, Exs. A-D.)

In his declaration, Mailly explains he mistakenly calendared the opposition to be due on 7/2/26 based on a printed version of the code in the Standard California Codes 2022 edition. (Mailly Decl. ¶¶ 2, 8.) In his haste, Mailly electronically filed earlier incomplete drafts of the opposition, separate statement and supporting declarations, without exhibits, at 12:06 a.m. on 7/3/26 via One Legal. (Mailly Decl. ¶¶ 3-7.) Therefore, it was officially filed at 8:00 a.m. on 7/6/26, the next court day. On 7/9/26, when Mailly called opposing counsel to give notice that he would be filing an ex parte application seeking the court's approval of the late filing, he learned from opposing counsel that Code of Civil Procedure section 437c had been amended as of 1/1/25, requiring the opposition by 20 days before the hearing. (Mailly Decl., ¶ 8.)

Notice

Plaintiff first argues that the motion fails to provide adequate notice. However, Plaintiff waived "any defects or irregularities in the notice of motion" because it timely served an opposition on the merits and appeared at the initial hearing on 9/10/26 and argued the merits. (*Tate v. Superior Court* (1975) 45 Cal.App.3d 925, 930.)

Mandatory Relief

Next, Plaintiff correctly argues that the mandatory relief provision of section 437b does not apply to summary judgment because it is neither a "default," a "default judgment," nor a "dismissal" within the meaning of section 473(b). (See *English v. IKON Business Solutions, Inc.* (2001) 94 Cal.App.4th 130, 143–149; *Huh v. Wang* (2007) 158 Cal.App.4th 1406, 1416–1420; *Prieto v. Loyola Marymount University* (2005) 132 Cal.App.4th 290, 295–297; *Henderson v. Pacific Gas & Electric Co.* (2005) 187 Cal.App.4th 215, 227–229; see also *Las Vegas Land Development Co., LLC v. Wilkie Way, LLC* (2013) 219 Cal.App.4th 1086, 1091 [failure to oppose a motion for summary judgment was not grounds for mandatory relief from the judgment under section 473(b)].) Thus, it follows that the mandatory provision of section 473(b) does not apply to compel the court to accept a late-filed opposition to a motion for summary judgment/adjudication. Defendants have not cited authority holding to the contrary.

Discretionary Relief

Lastly, Plaintiff argues that even under the discretionary standard, relief should be denied because counsel's neglect was not excusable.

Discretionary relief under section 473, subdivision (b) is available to "relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect." (Code Civ. Proc., § 473, subd. (b).)

"Within the context of section 473(b) neglect is excusable if a reasonably prudent person under similar circumstances might have made the same error." (*Austin v. Los Angeles Unified School Dist.* (2016) 244 Cal.App.4th 918, 929.) "An honest mistake of law is a valid ground for relief where a problem is complex and debatable. The controlling factors in determining whether an attorney's mistake was excusable are (1) the reasonableness of the misconception and (2) the justifiability of the failure to determine the correct law." (*McCormick v. Board of Supervisors* (1988) 198 Cal.App.3d 352, 360 [cleaned up].) However, relief is not appropriate where the mistake is "simply the result of professional incompetence, general ignorance of the law, or unjustifiable negligence in discovering the law. Further, [t]he term 'surprise,' as used in section 473, refers to some condition or situation in which a party ... is unexpectedly placed to his injury, without any default or negligence of his own, which ordinary prudence could not have guarded against. Finally, as for inadvertence or neglect, [t]o warrant relief under section 473 a litigant's neglect must have been such as might have been the act of a reasonably prudent person under the same circumstances. The inadvertence contemplated by the statute does not mean mere inadvertence in the abstract. If it is wholly inexcusable it does not justify relief." (*Hearn v. Howard* (2009) 177 Cal.App.4th 1193, 1206 [cleaned up].)

Here, Defendants did not brief the issue of discretionary relief despite the court giving Defendants the opportunity to do so with this motion. Nevertheless, the facts presented do not establish that Defendants are entitled to discretionary relief. Defense counsel's admitted error was a mistake of law. Counsel admits he incorrectly calendared the opposition's deadline based on the prior version of the summary judgment statute and failed to check whether the law had changed until Plaintiff's counsel pointed it out long after the deadline passed. Effective 1/1/2025, Code of Civil Procedure section 437c, subdivision (b)(2), set the deadline to serve and file an opposition and supporting evidence at "not less than 20 days preceding the noticed or continued date of hearing." This is a clear bright-line deadline that is not complex, uncertain, or debatable. Defense counsel has not stated any circumstances that justify his failure to discover the correct opposition deadline in a timely manner. Defense counsel cannot claim he was surprised by the new deadline since the statute had been amended 18 months earlier. A reasonably prudent attorney calendaring a potentially dispositive motion for summary judgment would have confirmed the

governing deadline against a current source rather than a printed volume three years out of date. Defense counsel's general ignorance of the current summary judgment law and unjustifiable negligence in discovering the current summary judgment law does not support discretionary relief. (See *Hearn, supra*, 177 Cal.App.4th at p. 1206.)

The motion is denied.

Motion 2: Motion for Summary Judgment/Adjudication

Plaintiff Providence Capital Funding, Inc.'s Motion for Summary Judgment, or, in the Alternative, Motion for Summary Adjudication is GRANTED.

Plaintiff Providence Capital Funding, Inc. ("Plaintiff") moves for summary judgment in its favor against defendants Team MMJ Trucking LLC ("MMJ"), Mike Springer ("M. Springer") and Tonya Springer ("T. Springer") (collectively, "Defendants") on the causes of action against them that are alleged in Plaintiff's complaint. Alternatively, Plaintiff moves for summary adjudication that MMJ has no defense to the first cause of action for breach of contract; Defendants have no defense to the second cause of action for recovery of personal property; defendants M. Springer and T. Springer have no defense to the third cause of action for breach of guaranty; and each of Defendants' 16 affirmative defenses are without merit as a matter of law.

The Court declines to consider Defendants' untimely opposition, which was served on 7/6/26 and filed on 7/7/26. Defendants' opposition was due on 6/26/26. (See Code Civ. Proc., § 437c, subd. (b)(2) [20 days before the 7/16/26 hearing date].) Courts have discretion "to refuse to consider papers served and filed beyond the deadline without a prior court order finding good cause for late submission." (*Bozzi v. Nordstrom, Inc.* (2010) 186 Cal.App.4th 755, 765; *Kapitanski v. Von's Grocery Co., Inc.* (1983) 146 Cal.App.3d 29, 32-33 [court can summarily reject late-filed papers under local rules, but if it considers them at all, it must apply Code Civ. Proc., § 473 standards, and it is an abuse of discretion to refuse relief if "excusable neglect" shown]; CRC, rule 3.1300(d).) Defendants have not established that their untimely service and filing of their opposition was due to excusable neglect.

The Court declines to rule on Plaintiff's objections (ROA 182, 183) as immaterial to the Court's ruling but the objections are preserved for purposes of appeal. (See *Reid v. Google, Inc.* (2010) 50 Cal.4th 512, 526 ["the trial court's failure to rule expressly on any of Google's evidentiary objections did not waive them on appeal"]; see Code Civ. Proc., § 437c, subd. (q).)

Legal Standard

"A party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact." (*Aguilar v. Atlantic Richfield Co.* (2001)

25 Cal.4th 826, 850.) Where a plaintiff seeks summary judgment or summary adjudication, the plaintiff meets its initial burden by “prov[ing] each element of the cause of action entitling the party to judgment on the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(1).) Plaintiff’s initial burden “[does] not include disproving any affirmative defenses asserted by defendants.” (*Oldcastle Precast, Inc. v. Lumbermens Mut. Cas. Co.* (2009) 170 Cal.App.4th 554, 564; *Montrose Chemical Corporation v. Superior Court* (1993) 6 Cal.4th 287, 301, fn 4.)

If plaintiff meets this initial burden, “the burden then shifts to the defendant . . . to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(1).) The defendant may not rely on allegations or denials of its own pleadings. (*Ibid.*) “An issue of fact can only be created by a conflict of evidence. It is not created by speculation, conjecture, imagination or guess work.” (*Yuzon v. Collins* (2004) 116 Cal.App.4th 149, 166 [cleaned up].)

“In ruling on the motion, the court must consider all of the evidence and all of the inferences reasonably drawn therefrom, and must view such evidence and such inferences in the light most favorable to the opposing party.” (*Aguilar, supra*, 25 Cal.4th at p. 843.)

First and Third Causes of Action - Breach of Contract and Breach of Guaranty

“To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff’s performance of the contract or excuse for nonperformance (3) the defendant’s breach, and (4) the resulting damage to the plaintiff.” (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

“A lender is entitled to judgment on a breach of guaranty claim based upon undisputed evidence that (1) there is a valid guaranty, (2) the borrower has defaulted, and (3) the guarantor failed to perform under the guaranty.” (*Gray1 CPB, LLC v. Kolokotronis* (2011) 202 Cal.App.4th 480, 486.)

Here, the undisputed material facts establish each element of each cause of action.

The existence of a valid contract and valid guaranty: On or about 8/7/20, Plaintiff, as lessor, and MMJ, as lessee, entered into written Lease Agreement No. 20200731/904730 (“Lease”) whereby MMJ agreed to lease from Providence a 2013 Cascadia Freightliner tractor (“Vehicle”) for an initial term of 24 months (“Initial Term”). (UMF 1, 3-5.) At least 120 days before the end of the Initial Term, MMJ could elect to purchase the Vehicle or return it by providing Plaintiff with written notice of its election. Otherwise, the Lease would automatically renew for another 12 months, and thereafter for successive 6 month terms until MMJ returned the Vehicle to Plaintiff. (UMF 6-7.)

Concurrently with MMJ's execution of the Lease, M. Springer and T. Springer executed written guaranty agreements ("Guaranties") whereby they unconditionally guaranteed all obligations owed by MMJ under the Lease. (UMF 8.) In reliance on the Guaranties, Plaintiff extended credit to Defendants. (UMF 9.)

Subsequent to the funding of the Lease, Plaintiff assigned 22 of the Initial Term payments under the Lease to Financial Pacific Leasing ("FPL"), retaining the rights to the first and last payments. (UMF 10.) MMJ made all payments due during the Initial Term of the Lease, including the 22 payments assigned to FPL. (UMF 12-14.) Following payment of the Initial Term payments assigned to FPL, all right, title and interest to the Lease and the Vehicle was reassigned back to Plaintiff. (UMF 14.) Following the reassignment, Plaintiff has held all right, title and interest in the Lease and the Vehicle. (UMF 14.)

Plaintiff's performance: Plaintiff and FPL performed as required under the Lease by paying the vendor and by allowing MMJ to have possession and use of the Vehicle. (UMF 2, 12,14.)

Defendants' breach: At the end of the Initial Term, MMJ did not return the Vehicle to Plaintiff and never provided notice of its election to return or repurchase the Vehicle. Thus, the Lease automatically renewed for an additional 12 month term, and thereafter for successive 6 month terms. (UMF 15.) Beginning November 2022, MMJ stopped making the monthly payments owed to Plaintiff under the Lease. (UMF 16-17.) MMJ continues to possess the Vehicle. (UMF 18.) On or about 1/12/23, Plaintiff made demand upon Defendants for payment of the past due amount and return of the Vehicle. (UMF 19.) However, they failed and refused to do so. (UMF 20.)

Plaintiff's resulting damages: As of 3/15/26, Plaintiff is owed \$67,914.61 from MMJ under the Lease and from M. Springer and T. Springer under the Guaranties. (UMF 20.)

Accordingly, Plaintiff has met its initial burden.

Defendants have failed to timely oppose the motion and, therefore, have failed to establish triable issues of material fact.

Second Cause of Action - Recovery of Personal Property

To establish claim for recovery of personal property, the plaintiff must prove the right to immediate and exclusive possession of the property at the time of the commencement of the action and the defendant has unlawfully refused to return the property to the plaintiff. (*Fredericks v. Tracy* (1893) 98 Cal. 658, 660; *Normart v. Safer* (1924) 67 Cal.App. 507, 519.)

Here, the undisputed facts establish each of these elements. The Lease provides that Plaintiff is the owner of and has title to the Vehicle, and if

	MMJ failed to make any payment when due, Plaintiff could take possession of the Vehicle. (UMF 3-4.) Plaintiff assigned 22 of the Initial Term payments FPL. (UMF 10.) Following MMJ's payment of the Initial Term payments, FPL reassigned all right, title and interest to the Lease and the Vehicle back to Plaintiff. (UMF 12- 14.) Beginning November 2022, MMJ defaulted on the Lease when it stopped making the monthly payments. (UMF 16-17.) On or about 1/12/23, Plaintiff made demand upon Defendants for payment of the past due amounts and return of the Vehicle; however, they failed and refused to do so. (UMF 19-20.) Plaintiff commenced this action on 1/18/23. These facts establish Plaintiff had the right to immediate and exclusive possession to the Vehicle at the time it commenced this action and Defendants refused Plaintiff's pre-litigation demand to return the Vehicle. Accordingly, Plaintiff has met its initial burden. Defendants have failed to timely oppose the motion and, therefore, have failed to establish triable issues of material fact. Plaintiff's motion for summary judgment is granted.
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